

What the plant paid for in a year
Crew, supervision, equipment, and factory overhead

Standard costing

Charged to products

Standard rate $\times$ standard hours of the output

Left out of product cost

Variance: everything else, charged to cost of goods sold when each work order closes

Good for control while the rates are current

Actual absorption

Charged to products

All of the year's cost divided by the units made

Left out of product cost

Nothing left over: idle time is spread into the cost of every unit

Unit cost rises whenever volume falls

Time-driven costing

Charged to products

Capacity cost rate $\times$ routing time used, plus factory overhead

Left out of product cost

Unused capacity: reported as a cost of the plant, not of the products

Separates what products use from what sits idle